

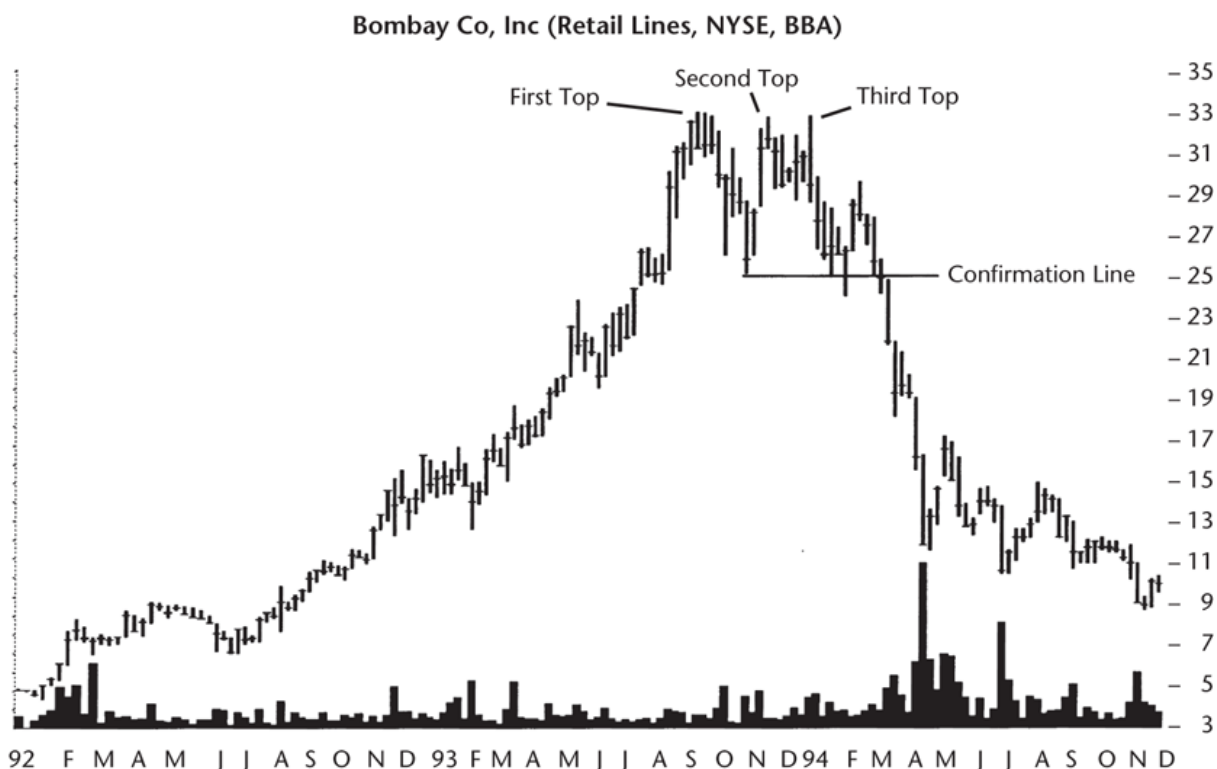


Figure 68.3 Triple top reversal on the weekly scale. The triple top marks the high point for the stock.

As you can see in the chart, the triple top marks the peak in the stock. From the high of 32.94, the stock plummets to 4.75, a stomach-churning decline of 86% in 2 years.

The chart also suggests some lessons. Sometimes the buy-and-hold strategy does not work. Whether you sold a bit early or a bit late, anything would have been better than riding the stock all the way up and all the way back down.

Do not laugh; I have done it myself, but not with this stock. It is probably a mistake we all have made at one time or another and hope never to make again. Unless you use stops, you will probably make it again (and even then you can face surprises when price gaps open 67% lower). You will watch all your profits evaporate as a stock declines while you continue hoping it will turn around. Then, just after you get disgusted enough to sell, price bottoms and starts recovering.